23NWCV03700 23NWCV03700

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-07-30

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SE%20%2CP%2C07%2F30%2F2026

Source SHA-256: eb13218d631a210aeb23d0f40aef33a035fdfc6c58e0323f5cf61dde50b7c75b

Case Number: 23NWCV03700 Hearing Date: July 30, 2026 Dept: P

WILLIAM KENT, ET AL. v. US DEVELOPERS, INC., ET AL.

CASE NO.: 23NWCV03700

HEARING: 07/30/2026 @ 9:30 AM

#15

TENTATIVE ORDER

I.
Plaintiffs William Kent and Courtney
Kent's motion to lift the stay and vacate the September 17, 2024 Order is
DENIED.

II.
The Court reinstates the September 17,
2024 Order and orders the parties back into binding arbitration. Pursuant to California Code of Civil Procedure section
1281.4, this action is STAYED pending the outcome of arbitration.

Moving party to give notice.

Plaintiffs William Kent and Courtney Kent (Plaintiffs) move
to lift the stay in this action, vacate the prior order compelling arbitration,
and return this action to the docket.

Background

On November 15, 2023, Plaintiffs filed this breach of contract action against Defendants US Developers, Inc. dba Home Renew 360, Shani Grafi, and Does 1 through 20 (Defendants). On January 20, 2024, Plaintiffs filed a first amended complaint (FAC). The FAC alleges the following: Plaintiffs own the real property located at 10849 Canelo Road, Whittier, California 90604 (Subject Property) and on June 15, 2021, contracted with Home Renew to perform certain home improvements. (Complaint, ¶ 10.) Plaintiffs hired Grafi pursuant to Home Renew's instructions to hire an interior designer. (Complaint, ¶ 15.) The complaint alleges Defendants induced Plaintiffs to expand the scope of remodel work and incur improper costs, failed to properly design the remodel, and made errors resulting in inadequate and substandard work. (Complaint, ¶¶ 16-21.) The complaint asserts five causes of action: (1) breach of contract; (2) negligent misrepresentation; (3) unfair business practice (Business & Professions Code, § 17200 et seq); (4) financial elder abuse, and (5) fraudulent inducement.

On September 17, 2024, the Court granted Defendant's Motion to Compel Arbitration. The Court stayed this action pending the binding arbitration.

On October 10, 2024, the Court granted the parties Stipulation stating that Grafi shall participate in the arbitration as a necessary party with Home Renew and Plaintiffs.

On March 19, 2025, the Court held a Post Arbitration Status Conference and granted Defendants' request for a continuance after Defendants reported that an arbitration was scheduled for November of 2025.

On February 26, 2026, the Court denied Defendants' second motion to compel arbitration without prejudice.

Legal Standard

Code of Civil Procedure section 1281.98, subdivision (a) provides: "In an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration provider, that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach."

"If the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may unilaterally elect to do any of the following: (1) "[w]ithdraw the claim from arbitration and proceed in a court of appropriate jurisdiction"; (2) continue the arbitration proceeding if the arbitrator agrees; (3) petition the Court for an order compelling the drafting party to pay all gees, or (4) "[p]ay the drafting party's fees and proceed with the arbitration proceeding." (Code Civ. Proc., § 1281.98, subd. (b).)

Discussion

Plaintiffs move to lift the stay in this action, vacate the prior order compelling arbitration, and return this action to the docket.

This matter was ordered into arbitration on September 17, 2024. (9/17/2024, Order.) Following this Order, the parties proceeded with arbitration before the AAA in Case No. 01-23-0004-1010. (Peng Decl., ¶ 5.) On February 13, 2025, the AAA issued an invoice and/or notice requiring Defendants to pay $5,050.00 in arbitration fees or deposits to continue the arbitration. (Peng Decl., ¶ 5.) The AAA stated the amount was due upon receipt and that the arbitration was subject to Code of Civil Procedure section 1281.98. (Peng Decl., ¶ 5.) On March 13, 2025, the AAA sent a follow-up notice stating that Defendants' required payment remained unpaid. (Peng Decl., ¶ 6.) On March 20, 2025, the AAA sent a further notice stating that Defendants' required payment remained unpaid. (Peng Decl., ¶ 7, Exh. A.) Plaintiffs state that "[o]n April 14, 2025, after the statutory period had expired, Plaintiffs elected to withdraw from arbitration and proceed in this Court pursuant to section 1281.98, subdivision (b)(1). On that date, the AAA issued a letter confirming that the file was closed due to Defendants' untimely payment of their arbitrator compensation deposits and administrative fees, and advised that the parties may proceed with their dispute in court." (Peng Decl., ¶ 9, Exh. B.) Plaintiffs state that no arbitration award on the merits was issued. (Peng Decl., ¶ 10.)

Plaintiffs argue that this action is governed by Code of Civil Procedure section 1281.98 because home-improvement contracts are part of California's consumer protection statutory scheme. Plaintiffs therefore argue that Defendants' late payment automatically triggered Code of Civil Procedure section 1281.98.

Plaintiffs cite to Hinerfeld-Ward, Inc. v. Lipian (2010) 188 Cal.App.4th 86, 91-92 to argue that the home improvement contract is part of California's consumer protection statutory scheme. However, Hinerfeld-Ward, Inc. only states that Business and Professions Code section 7159 is "part of a larger consumer protection statutory scheme." (Id., at p. 91.) Plaintiffs' citation to Handyman Connection of Sacramento, Inc. v. Sands (2004) 123 Cal.App.4th 867, 871, 883 is similarly unavailing, as it relates to construing Contractors' State License Law. As argued by Defendants, neither case involves arbitration or establishes that a home-remodeling arbitration constitutes a consumer arbitration under Code of Civil Procedure section 1281.98.

Defendants further argue that even if Code of Civil Procedure section 1281.98 applies, which the Court finds it does not, Defendants' late payment does not trigger forfeiture. Defendants refer to the Supreme Court of California's ruling in Hohenshelt v. Superior Court (2025) 18 Cal.5th 310, 323.

In Hohenshelt, the Supreme Court of California found that Code of Civil Procedure section 1281.98 is not preempted by the FAA (Id., at p. 323.) In so finding, the Supreme Court rejected the argument that "section 1281.98 imposes an inflexible rule that deems any failure to make timely payment a material breach, regardless of circumstances, with the automatic consequence that the drafting party loses its arbitral rights." (Id., at p. 331.) The High Court looked to the legislative history and longstanding relief-from-forfeiture principles, including Civil Code section 3275, Civil Code section 1511, and Code of Civil Procedure section 473, subdivision (b) in rejecting a rigid application of Code of Civil Procedure section 1281.98. (Id., at p. 335-41.) The High Court concluded: "instead of '[i]mposing a higher standard for enforcement of arbitration agreements' [citation], section 1281.98 construed in harmony with background statutes, makes arbitration contracts enforceable on the same grounds as those that apply to other contracts: When a party breaches its contractual obligations willfully, fraudulently, or with gross negligence, it cannot escape the consequences by pointing to a lack of harm to the other party. But short of such wrongful conduct, a breaching party may be relieved from forfeiting its right to enforce an arbitration agreement based on the circumstances, as provided by longstanding legal principles." (Id., at p. 346.)

The Court agrees with Defendants that the less rigid application of Code of Civil Procedure section 1281.98, as prescribed by the Supreme Court of California in Hohenshelt, governs here.

Defendants show that prior to this action being filed, on September 15, 2023, Home Renew initiated an arbitration between these parties before Arbitrator Marilyn Klinger, at the American Arbitration Association (AAA), entitled US Developers, Inc. dba Home Renew 360 v. William Kent, AAA Case No. 01-23- 0004-1010. (Grossbart Decl., ¶¶ 3-4.) The AAA confirmed receipt of Home Renew's initial deposits. (Grossbart Decl., ¶ 5.) After the Court's 9/17/24 Order compelling arbitration, Plaintiffs filed a counter claim which "removed the arbitration case from the fast-track rules to the regular track rules of the AAA." (Grossbart Decl., ¶ 11.) The parties then engaged with their arbitrator and set an arbitration for November 3, 2025. (Grossbart Decl., ¶ 12.) Defendants states that their failure to pay the arbitrator-fee advance was not intentional and cured on March 27, 2025, seven days after the last AAA notice. (Grossbart Decl., ¶¶ 19-21.) Defense counsel states that "[m]y office's failure to remit the $5,050.00 advance within 30 days was an inadvertent administrative oversight. It was not willful, grossly negligent, or fraudulent. As the party that initiated and funded the Arbitration, Home Renew had every incentive to see it proceed to a hearing." (Grossbart Decl., ¶ 29.)

Plaintiffs do not reply.

Here, Defendants establish that the failure to pay the deposit within 30 days was not "willful, fraudulent, or grossly negligent." (Hohenshelt, supra, 18 Cal.5th at p. 346; Wilson v. Tap Worldwide, LLC (2025) 114 Cal.App.5th 1077, 1087 ["to avoid federal preemption, section 1281.98 must be interpreted to allow courts to excuse untimely payments that are not willful, grossly negligent, or fraudulent."].) Defendants state that the delay was inadvertent and show that in the earlier arbitration between the parties, Defendants timely made the requisite payments. Defendants additionally show that they cured the non-payment within seven days. The Court therefore agrees that even if Code of Civil Procedure section 1281.98 applies, then Defendants would be excused from forfeiture under Hohenshelt.

As the Court finds that Code of Civil Procedure section 1281.98 does not apply and even if it did, there was no material breach, the Court does not award attorney's fees.

Accordingly, Plaintiffs' motion to lift the stay and vacate the September 17, 2024 Order is DENIED.

The Court reinstates the September 17, 2024 Order and orders the parties back into binding arbitration. Pursuant to California Code of Civil Procedure section 1281.4, this action is STAYED pending the outcome of arbitration.